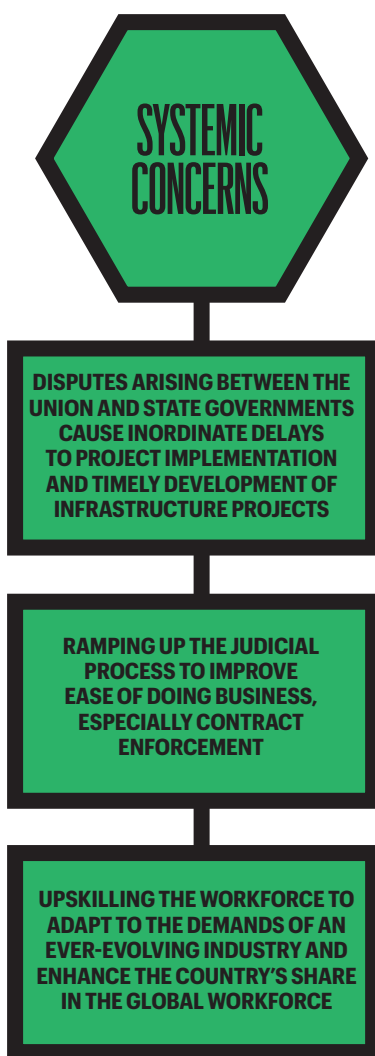


of a large volume of ultra-high-purity water, uninterrupted electricity and sites for disposal of hazardous waste, Jain expects the initiative to start yielding results in the next couple of years. “By successfully setting up a strong chipset ecosystem, India will be able to derive significant business and strategic gains.” The 5G roll-out that commenced last year will also play an important role. Its high speed, low latency and reliability in delivering seamless communication will result in the generation of high-quality videos on the fly, which will aid remote healthcare and drone surveillance in sectors such as agri and mining. “More importantly, 5G will play an important role in taking high-speed internet to the masses beyond Tier I cities,” says Jain.

MEANWHILE, THE INTENSIFYING chorus on green financing and sustainability has jolted Indian corporates into a new reality over the past few years. The result: Buzzing activity around the adoption of environment, social and governance (ESG) principles. “Three years ago, it was a buzzword. Now, every firm wants to get materiality assessments done,” says Priyanka Dhingra, ESG Analyst at SBI Mutual Fund. Adds Anil Choudhary, Head of ESG and Climate Change at VC firm True North: “In 2018-19, most of our investee firms were asking ‘why’. Now it’s ‘how’ to integrate ESG in their businesses.” Significantly, the end of FY23 will see the top 1,000 listed Indian firms dis-

SINCE THE MSME SECTOR WORKS ON THIN MARGINS, AN ENABLING FRAMEWORK WILL ENCOURAGE IT TO IMBIBE INDUSTRY 4.0 PROCESSES AND PRACTICES

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close their ESG journey publicly for the first time as per Sebi’s mandatory Business Responsibility & Sustainability Reporting rules.

Of ESG’s three pillars, ‘E’ is where most of the activity is happening. Climate change, particularly, is the big focus. Studies show that of the \$400 trillion capital available globally, about \$130 trillion is owned by signatories to the UN Principles of Responsible Investing (UNPRI). “That means those funds won’t invest in fossil fuel companies and will withdraw from weak ESG firms. That’s the first pressure corporates are responding to,” says Sambitosh Mo-

hapatra, Partner and Leader of ESG at PwC India. True North’s Choudhary says PE investors used to ask whether the firm has an ESG policy. “Now they ask: How do you govern your ESG policy? How is the head of your organisation committed to it? How often do you meet?”

At 2.9 billion tonnes, India is the world’s third-largest carbon emitter annually, although our per capita emissions are lower than other major economies. We have pledged to become net carbon-neutral by 2070. The goal requires \$17.77 trillion by 2070, according to a Standard Chartered study. “A lot of money is going to come into developing countries. India has to be ready because multi-lateral agencies will have structures about how to disburse the money,” says Preeta Misra, Senior Director (Head of ESG Vertical), at Dun & Bradstreet India. Experts say most of the urgency for India Inc. is driven by risk-mitigation strategies, but value creation potential will also drive their adoption. Studies show that six sectors—power, steel, automotive, aviation, cement and agriculture—account for about 70 per cent of India’s CO₂ emissions. They face the maximum pressure, experts say.

Let’s take cement. JSW Cement’s EVP and Chief Sustainability & Innovation Officer Manoj Rustagi says 30 per cent of the carbon emission in an integrated cement plant comes from the use of fossil fuels and 10 per cent is from electrical energy use. “But 60 per cent is due to the inherent cement-making process of breaking down limestone (calcium carbonate) into calcium oxide and CO₂.” He says cement companies are working to cut down the first two, but the third one requires carbon capture, utilisation & storage (CCUS)—a suite of technologies to remove carbon from the atmosphere and lock it back into the earth.